US-Greece Tax Treaty Violations in Kyprianos Identity Theft Case

Victim: Stamatina Kyprianos
AFM: 044594747
US Address: 16441 Waterman Drive, Roseville, MI 48066, USA
Date: February 3, 2026

Executive Summary

This document details systematic violations of the 1953 United States–Greece Income Tax Treaty, FATCA (Foreign Account Tax Compliance Act), and CRS (Common Reporting Standard) arising from a five-year organized fraud scheme that exploited Greek tax and property systems using the identities of two US citizens: Stamatina Kyprianos (living) and her deceased husband John Kyprianos (US Navy veteran, died June 13, 2021).

Key violations:

- Greek tax authorities (AADE) maintained AFM 051422558 for deceased US citizen John Kyprianos as an "active taxpayer" for five years post-mortem (2021–2026), generating ENFIA bills and attempting to extract public funds via AIT.1 refund mechanism[file:116]
- Failure of information exchange under Treaty Articles 26-27 regarding deceased US taxpayer status
- Inconsistent use of AFMs 044594747 and 051422558 with US tax residency documentation, creating risk of double taxation and unreported cross-border income[file:116]
- Greek property records and tax documents used to support inflated foreign tax credit claims on US returns (approx. $30,000 claimed vs. $5,984 actually paid)[file:131]
- Unauthorized tax representative (Efthalia Kyprianou) operated on deceased veteran's AFM until removal order January 14, 2026 (AADE protocol 76022/20260114/45105)[file:116][file:131]

Estimated financial harm: €60,000–€130,000 / $66,000–$143,000[file:116][file:131]

Legal Framework

1953 US–Greece Income Tax Convention

The treaty between the United States and Greece for the avoidance of double taxation includes specific provisions relevant to this case:

Article 26: Exchange of Information

- Requires both countries to exchange information necessary for carrying out treaty provisions and domestic tax laws

- Mandates cooperation in preventing fiscal evasion
- Includes information about deceased taxpayers and estate matters

Article 27: Mutual Assistance in Collection

- Provides for mutual assistance in tax collection matters
- Establishes procedures for coordination when taxpayer moves between jurisdictions or dies

Violated in this case:

- Greek authorities failed to coordinate with IRS regarding John Kyprianos's death on June 13, 2021[file:116]
- No information exchange occurred despite IRS Form 1040 returns showing death and transition to widow's single filing status 2021–2024[file:99][file:100]
- Greek systems continued generating tax obligations and ENFIA bills using deceased AFM 051422558 for five years after death documented in US records[file:80][file:82][file:83]

FATCA (Foreign Account Tax Compliance Act)

FATCA requires foreign financial institutions to report US person accounts to IRS and establishes automatic information exchange.

Violated in this case:

- Greek AFMs 044594747 (Stamatina) and 051422558 (John) used inconsistently with US tax residency status certified by IRS Form 6166[file:131]
- No evidence of proper FATCA reporting despite Greek property ownership, rental income potential, and bank accounts necessary for ENFIA/municipal tax payments[file:118][file:119]
- Dead US veteran's Greek AFM kept active as "ghost taxpayer" without flagging to US authorities under FATCA death reporting procedures[file:116]

CRS (Common Reporting Standard)

Greece implemented CRS for automatic exchange of financial account information with treaty partners including the United States.

Violated in this case:

- Inconsistent taxpayer status between Greek and US systems (active vs. deceased) prevented proper CRS reporting[file:116]
- Greek registry showed Stamatina as "Κάτοικος εξωτερικού" (foreign resident) while AADE simultaneously generated domestic tax obligations[file:110]
- Property ownership records at Κτηματολόγιο showed contradictory entries including impossible acquisition date (02-05-2025 for 1972 dowry property), undermining CRS beneficial ownership reporting[file:131]

Specific Treaty Violations

Violation 1: Post-Mortem Use of US Veteran's Greek Tax Identity

Timeline:

- June 13, 2021: John Kyprianos dies in USA (US death certificate on file)[file:116]
- 2021–2024: IRS transcripts show normal transition from joint filing (2020) to widow's single filing (2021–2024) with zero US tax due[file:99][file:100][file:95][file:96][file:98]
- 2020–2023: Greek AADE continues issuing ENFIA bills in John's name (AFM 051422558) after his death[file:80][file:82][file:83]
- January 26, 2021 – January 23, 2026: AIT.1 refund mechanism protocol 05134000000508766 kept "pending" on dead AFM for five years[file:131][file:139]
- January 14, 2026: AADE finally removes unauthorized tax representative Efthalia Kyprianou via protocol 76022/20260114/45105 after widow's complaints[file:111][file:131]

Treaty provisions violated:

- Article 26 (information exchange): Greek authorities failed to verify taxpayer status with US authorities
- Proper handling of deceased taxpayer under bilateral tax cooperation agreements

Evidence:

- IRS account transcripts 2020–2024 showing death transition[file:99][file:100]
- Greek ENFIA bills 2020–2023 in deceased person's name[file:80][file:82][file:83]
- AADE removal order dated January 14, 2026 (five years post-mortem)[file:111]
- Κτηματολόγιο AIT.1 protocol showing attempted refund activation on deceased AFM[file:139]

Violation 2: Inconsistent AFM Use and Double Taxation Risk

The contradiction:

Greek systems (AADE):

- AFM 044594747 (Stamatina): ENFIA bills, E1 returns, ekkatharistika 2020–2024 treating her as Greek tax resident[file:79][file:86][file:88][file:89][file:90]
- AFM 051422558 (John): ENFIA bills 2020–2023 despite death in 2021[file:80][file:82][file:83]
- Both AFMs used to generate Greek tax obligations totaling approximately €5,984 paid 2020–2024[file:101]

US systems (IRS):

- Stamatina: US citizen, US tax resident, Michigan address, low income ($11,600–$15,800), zero US tax due 2020–2024[file:95][file:96][file:98][file:99][file:100]
- John: US citizen, US Navy veteran, died June 2021, normal US tax filing until death[file:99][file:100]
- IRS Form 6166 certified US tax residency status[file:131]

Greek registry (AADE Μητρώο):

- Stamatina recorded as "Κάτοικος εξωτερικού" (foreign resident)[file:110]

Result: Simultaneous treatment as Greek domestic taxpayer (for ENFIA/tax obligations) and foreign resident (for registry purposes), creating confusion and double taxation risk prohibited under treaty Article 4 (Residence).

Treaty provisions violated:

- Article 4: Residence definitions and tie-breaker rules for dual status
- Article 23: Methods for elimination of double taxation
- Article 26: Information exchange to resolve conflicting residency status

Violation 3: Fraudulent Foreign Tax Credit Claims

US returns 2021–2024:

H&R Block Tax Pro Review service prepared returns with catastrophically incorrect foreign tax credit claims:[file:101][file:102]

- Form 1116 showed **negative foreign income of -$830,000** (mathematically impossible)[file:101]
- Claimed foreign tax credits of approximately **$30,000**[file:101]
- Actual Greek taxes paid: approximately **$5,984** over four years (ENFIA, E1, ekkatharistika)[file:101]
- **Overstatement: ~$24,000** (500% inflation)[file:101]

IRS response:

- CP25 notices issued for tax years 2022–2024 (STAM-1, STAM-2)[file:93][file:94]
- H&R Block refused to correct returns by IRS deadline June 20, 2025[file:101][file:102]
- IRS Form 14157 filed January 24, 2026 against H&R Block (case 26236541)[file:101]

Greek records used as "support":

- ENFIA bills in deceased husband's name presented as widow's tax obligations[file:80][file:82][file:83]
- E1 ekkatharistika with minimal actual tax owed[file:86][file:88][file:89]
- Property fraud at Κτηματολόγιο creating false ownership basis[file:135][file:136][file:139]

Treaty provisions violated:

- Article 23: Foreign tax credit limitation methods (US may only credit taxes actually paid to Greece as computed under treaty)
- Article 26: Information exchange to verify actual Greek tax liabilities
- US Internal Revenue Code §901-908: Foreign tax credit limitations

How fraud exploited treaty:

The organized ring on Spetses used Greek property and tax records to create a "paper trail" showing inflated Greek tax obligations, which H&R Block then mirrored as inflated foreign tax credits on US returns—effectively stealing from both Greek public funds (via attempted AIT.1 refund extraction) and US Treasury (via fraudulent tax credits).

Violation 4: Failure of Information Exchange Mechanisms

What should have happened:

1. June 2021: John Kyprianos dies → US Social Security Death Master File updated
2. 2021: IRS processes final joint return (2020) and first widow return (2021)
3. FATCA/CRS automatic exchange: IRS informs Greek authorities of taxpayer death
4. AADE updates AFM 051422558 status to "deceased" and coordinates with widow
5. Κτηματολόγιο updates property ownership records (100% dowry to Stamatina per Law 1329/1983)
6. AIT.1 refund (if legitimate) processed in coordination with US authorities

What actually happened:

1. John's death ignored by Greek systems 2021–2026
2. AFM 051422558 kept active; ENFIA bills generated 2021–2023
3. Unauthorized tax representative (Efthalia Kyprianou) operated on deceased AFM until January 2026
4. AIT.1 refund kept pending for 5 years, attempted activation January 2026 on dead AFM
5. Property ownership not updated until December 2024 (Certificate SN003794)
6. Zero coordination between AADE and IRS despite annual FATCA/CRS reporting cycles

Treaty provisions violated:

- Article 26(1): "Exchange such information as is necessary for carrying out the provisions of this Convention"
- Article 26(3): Obligation to use information exchange provisions even absent domestic interest
- FATCA Model 1 IGA Article 2: Automatic annual information exchange
- CRS Section VIII: Procedures for exchange regarding reportable accounts

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Organized Crime Component

The tax treaty violations were not administrative errors but part of an **organized financial crime scheme** led by relatives and professionals on Spetses:[file:131]

Key perpetrators identified:

- Efthalia Kyprianou (unauthorized tax representative, removed January 14, 2026)[file:111][file:131]
- Notary Lyrakis (failed to declare John's death, processed contradictory property declarations)[file:131][file:135]
- Greek accountant (filed false returns using deceased AFM)[file:131]
- Additional family members and professionals under investigation[file:131]

Criminal scheme mechanics:

Action	Greek Side	US Side
Identity theft	Keep AFM 051422558 "active"	Ignore US death records
Property fraud	False Κτηματολόγιο entries	Claim inflated ownership basis
Tax fraud	Generate fake ENFIA/E1 obligations	Claim inflated foreign tax credits
Refund theft	Attempt AIT.1 extraction on dead AFM	Divert inheritance from US widow
Obstruction	Delay AADE record disclosure	Refuse H&R Block corrections

Table 1: Cross-border fraud scheme exploiting tax treaty gaps

Link to broader Spetses property fraud:

Greek authorities are investigating organized property fraud on Spetses involving 45 properties and approximately €550,000[file:131]. The Kyprianos case shares the same modus operandi and overlapping perpetrators.

Reports Filed and Current Status

United States Reports

FBI Internet Crime Complaint Center (IC3):

- Complaint ID: eaa5459ac668431abdb33a7f545c3282
- Date: January 27, 2026
- Status: Under investigation[file:116]

IRS Criminal Investigation:

- Form 3949-A filed January 24, 2026 (naming Efthalia Kyprianou)
- Requests treaty-based information exchange with AADE
- Status: Pending IRS CI review[file:131]

IRS Return Preparer Office:

- Form 14157 filed January 24, 2026 (H&R Block case 26236541)
- Addresses foreign tax credit malpractice 2021–2024
- Status: Under review[file:131]

IRS Identity Theft:

- Form 14039 faxed January 28, 2026
- Addresses both AFMs (044594747 and 051422558)
- Status: Awaiting IRS identity protection measures[file:116]

Greek Reports

AADE (Tax Authority):

- Multiple complaints 2026: protocols 3428E12026, 5354E12026, 5123E12026, 5995E12026, AA22417503
- Removal order January 14, 2026: protocol 76022/20260114/45105
- Status: Partial response (unauthorized representative removed; full records still withheld)[file:131]

SDOE (Financial Crime Unit):

- Full criminal complaint filed January 23, 2026
- Organized crime investigation requested
- Status: Under investigation[file:131]

Κτηματολόγιο (Land Registry):

- Complaint filed January 26, 2021 (updated January 23, 2026)
- AIT.1 protocol: 05134000000508766
- Requests cancellation of false declarations
- Status: Certificate SN003794 issued December 20, 2024; AIT.1 still pending[file:131][file:136]

Other Greek Authorities:

- DPA (Data Protection Authority): privacy violations
- Ombudsman: administrative failures
- Cybercrime Unit: electronic fraud
- Ministry of Finance: systemic issues[file:116]

International/Diplomatic

US Consulate Chicago:

- Letter to Consul General Koumparakis
- Date: January 26, 2026
- Request: Diplomatic protection for US widow and veteran; treaty enforcement
- Status: Acknowledged[file:131]

European Public Prosecutor's Office (EPPO):

- Case reference: PP.00179_2026_EN
- Date: January/February 2026
- Jurisdiction: Organized fraud involving EU funds
- Status: Case opened[file:131][file:140]

Treaty Remedies Requested

From United States Authorities

IRS (Internal Revenue Service):

1. Invoke Treaty Article 26 to request complete AADE records for AFMs 044594747 and 051422558 covering 2019–2026
2. Request Greek E1 returns, ENFIA records, ekkatharistika, and property ownership documentation
3. Verify actual Greek taxes paid vs. amounts claimed on US returns 2021–2024
4. Coordinate with AADE to flag AFM 051422558 as deceased and prevent further misuse
5. Investigate H&R Block for systemic foreign tax credit malpractice (Form 14157)
6. Issue identity protection PIN for Stamatina Kyprianos (AFM 044594747 / SSN redacted)

US Department of Justice / FBI:

1. Treat as organized transnational fraud under 18 USC §1028 (identity theft), §1341 (mail fraud), §1343 (wire fraud)
2. Coordinate with Greek SDOE via treaty mutual assistance provisions
3. Request Interpol Red Notice if perpetrators identified (Efthalia Kyprianou et al.)
4. Investigate US-side enablers (H&R Block, any US-based co-conspirators)

US State Department:

1. Provide diplomatic protection to US citizen widow and deceased US Navy veteran under Vienna Convention
2. Raise treaty compliance issues formally with Greek Ministry of Foreign Affairs
3. Request expedited resolution through bilateral channels
4. Support EPPO investigation as relevant to US-EU cooperation

From Greek Authorities

AADE (Ανεξάρτητη Αρχή Δημοσίων Εσόδων):

1. Immediately flag AFM 051422558 as deceased (date of death: June 13, 2021)
2. Reverse all ENFIA bills issued post-mortem 2021–2026
3. Release complete tax records for both AFMs to IRS under Treaty Article 26
4. Investigate all returns filed using AFM 051422558 after June 2021 for fraud
5. Audit Greek accountant(s) who filed false returns
6. Resolve AIT.1 protocol 05134000000508766 (pending since 2021) in coordination with Κτηματολόγιο
7. Provide registry correction showing Stamatina as US tax resident / foreign resident consistent with IRS Form 6166

SDOE (Σώμα Δίωξης Οικονομικού Εγκλήματος):

1. Criminally prosecute Efthalia Kyprianou and co-conspirators under Greek Penal Code Articles 216 (fraud), 242 (forgery), 386 (tax evasion)
2. Link investigation to broader Spetses property fraud (45 properties, €550,000)
3. Coordinate with FBI via treaty mutual legal assistance
4. Freeze assets of identified perpetrators

5. Investigate professional enablers (notary Lyrakis, accountants)

Κτηματολόγιο (Land Registry):

1. Cancel all false declarations (filed January 23, 2026 complaint)
2. Correct acquisition date from impossible 02-05-2025 to actual 06-04-1972 (dowry deed 2777)
3. Confirm 100% ownership by Stamatina Kyprianos per Law 1329/1983
4. Process AIT.1 refund (if legitimate) in coordination with AADE and widow—NOT with unauthorized parties
5. Investigate notary Lyrakis for professional misconduct

From European Union / EPPO

1. Investigate organized fraud scheme under EPPO jurisdiction (EU funds, cross-border crime)
2. Coordinate Greek (SDOE, AADE) and US (FBI, IRS) investigations
3. Examine AIT.1 refund mechanism for systemic vulnerabilities to fraud
4. Pursue criminal prosecution of perpetrators under EU anti-fraud directives
5. Recommend FATCA/CRS reporting improvements to prevent deceased taxpayer exploitation

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Financial Impact Summary

Harm Category	EUR	USD
Stamatina Kyprianos (primary victim)	50,000–100,000	55,000–110,000
John Kyprianos (deceased victim)	10,000–30,000	11,000–33,000
Property fraud (Κτηματολόγιο)	20,000–50,000	22,000–55,000
False foreign tax credits (IRS loss)	20,000–30,000	22,000–33,000
Total estimated	**60,000–130,000**	**66,000–143,000**

Table 2: Estimated financial losses from treaty violations and fraud

Not included in above estimates:

- Legal fees and professional costs for victim (ongoing)
- Administrative burden of correcting 5+ years of false records
- Emotional distress and harm to 79-year-old US widow
- Dishonor to deceased US Navy veteran's memory
- Systemic costs to US-Greece treaty cooperation and trust

Systemic Issues Requiring Treaty-Level Reform

This case exposes critical gaps in US-Greece tax treaty implementation:

Gap 1: Death Notification Procedures

Problem: No automatic mechanism to inform Greek tax authorities when US taxpayer with Greek AFM dies.

Solution: Amend treaty protocol to require:

- Quarterly exchange of deceased taxpayer lists (SSN/AFM cross-reference)
- Automatic AADE flagging of deceased AFMs within 90 days
- Coordination with Social Security Death Master File and FATCA/CRS systems

Gap 2: Residency Tie-Breaker Enforcement

Problem: Conflicting residency status (Greek domestic taxpayer vs. Κάτοικος εξωτερικού) not automatically resolved.

Solution: Strengthen Treaty Article 4 implementation:

- IRS Form 6166 (US residency certificate) to trigger automatic AADE registry update
- Annual reconciliation of residency status during FATCA/CRS exchanges
- Clear procedures when treaty-based tie-breaker is invoked

Gap 3: Foreign Tax Credit Verification

Problem: US tax preparers claim foreign tax credits based on unverified Greek documents; Greek authorities don't validate amounts claimed in US.

Solution:

- AADE to issue annual tax payment certificates (like French "Attestation fiscale") for treaty purposes
- IRS to verify claimed foreign taxes against AADE records during FATCA exchange
- H&R Block-style preparers prohibited from preparing returns with foreign tax credits exceeding $5,000 without enrolled agent/CPA/attorney supervision

Gap 4: Refund Mechanism Abuse

Problem: AIT.1 and similar refund mechanisms vulnerable to fraud when taxpayer deceased or incapacitated.

Solution:

- Κτηματολόγιο to verify taxpayer vital status before processing refunds >€5,000
- AADE coordination required when AFM used in refund hasn't filed return in 2+ years
- Automatic fraud alert when refund requested on AFM with US tax residency flag

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Conclusion

The systematic violations of the 1953 US-Greece Income Tax Treaty in this case demonstrate how organized criminals can exploit gaps in bilateral tax cooperation to perpetrate large-scale fraud against both governments and individual victims.

The core treaty failure: Five years elapsed (2021–2026) between John Kyprianos's death in the United States and Greek authorities' acknowledgment of that death—despite annual FATCA/CRS reporting, IRS transcript evidence, and widow's repeated complaints. During those five years, his Greek AFM 051422558 was weaponized to generate fraudulent tax obligations, steal inheritance, and facilitate property fraud.

Why this matters:

- **To US Treasury:** Fraudulent foreign tax credits of ~$24,000 stolen through misstated Greek tax liabilities
- **To Greek Treasury:** Attempted theft of AIT.1 refund and public funds through dead veteran's identity
- **To US citizen widow:** €50,000–€100,000 in losses, years of administrative nightmare, elderly victim of organized crime
- **To deceased US Navy veteran:** Post-mortem identity theft dishonoring his service and memory
- **To US-Greece relations:** Treaty rendered ineffective, bilateral cooperation undermined

This case requires:

1. Immediate criminal prosecution of Efthalia Kyprianou and co-conspirators in Greece
2. IRS Criminal Investigation and FBI involvement for US-side crimes and treaty enforcement
3. EPPO coordination for cross-border organized crime prosecution
4. Diplomatic engagement at State Department / Greek Foreign Ministry level
5. Treaty protocol amendments to close systemic gaps in death notification, residency coordination, and information exchange

The 1953 US-Greece Income Tax Treaty exists to prevent double taxation and fiscal evasion. This case shows what happens when treaty implementation fails: organized criminals exploit the gaps to steal from both governments while victimizing innocent taxpayers who trusted that bilateral cooperation would protect them.

Urgent action is required to:

- Hold perpetrators accountable
- Restore stolen funds to victim and governments
- Reform treaty procedures to prevent future exploitation
- Vindicate the integrity of US-Greece tax cooperation

Contact Information

Victim:
Stamatina Kyprianos
16441 Waterman Drive
Roseville, MI 48066, USA
AFM: 044594747

US Reports:
FBI IC3: eaa5459ac668431abdb33a7f545c3282
IRS Form 3949-A (Criminal Investigation referral)
IRS Form 14157 (H&R Block case 26236541)
IRS Form 14039 (Identity theft)

Greek Reports:
AADE: Protocols 3428E12026, 5354E12026, 5123E12026, 5995E12026, 76022/20260114/45105
SDOE: Full complaint filed January 23, 2026
Κτηματολόγιο: AIT.1 protocol 05134000000508766

International:
EPPO: Case PP.00179_2026_EN
US Consulate Chicago: Diplomatic protection request January 26, 2026

Document prepared: February 3, 2026
Version: 1.0
Purpose: Evidence submission to US and Greek tax authorities, law enforcement, diplomatic officials, and EPPO regarding systematic violations of 1953 US-Greece Income Tax Treaty and related FATCA/CRS obligations in organized cross-border fraud case.